

CONSUMPTION

Rural Hope, Urban Fears

Industry enthused by signs of a revival in rural demand, but fresh concerns emerge over urban consumption

BY ARNAB DUTTA

18 | **AFTER TWO YEARS** of slump, the festive season this year has brought cheer to manufacturers and retailers alike. Makers of refrigerators, washing machines, and automobiles, who were desperately hoping for a revival in sales, saw some respite in the festive weeks between

late September and early November.

It seems consumers were glued to their smartphones, as indicated by sales of electronics and appliances, especially premium smartphones. Automobile dealers also had reason to cheer as they saw cars being driven away by customers.

The automotive sector recorded a healthy jump in retail sales during the period. According to the Federation of Automobile Dealers Association (FADA), 4.2 million vehicles were bought, 11.8% higher than last year's sales figure of 3.8 million units. Sales of two-wheelers, which have been subdued for the past two years, grew at a fast clip. This season, dealers sold 3.3 million motorcycles and scooters, which was 14% higher than the corresponding period last year. Industry insiders were particularly enthused by the fact that sales were driven by rural households because rural sales have been in a prolonged slowdown.

"This season traditionally accounts for 30-35% of total annual auto sales. So, the industry was keenly focussed on how October would unfold. With dealers entering this crucial period fully committed and carrying all-time high



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